The Impact

Of all the changes that were ushered in the company, Ratan's particular emphasis on globalization yielded the maximum benefits.

Even though many considered Ratan's decision to wade into the highly competitive car segment as fraught, it did eventually pay off, contrary to the predictions of most Indian and foreign analysts. During FY 2022–23 Tata Motors regained the status as the third-largest passenger car manufacturer in the country, and became as popular as a car maker as a truck manufacturer.

The CVBU, which generally accounts for around 65 per cent of the total revenue and profits of Tata Motors excluding JLR, also flourished under Ratan. His particular emphasis on strengthening the segment, especially the pursuit of continuous innovation, modernization and launching new models, paid dividends. Consequently, during his chairmanship (1988–2012), the company maintained an average market share of nearly 62 per cent (in 2013) in the segment as compared to an average of 53.6 per cent for the three years prior to his taking over, and 47.23 per cent since he retired (until 2019).

The story of the growth of the passenger car segment was phenomenal. When Ratan stepped down, the share of Tata Motors in the segment for the ten-year period 2004–2013 averaged 14.78 per cent per year. In 2012, Tata Motors became the third-largest manufacturer of cars after Maruti and Hyundai. However, its share plummeted to a paltry 4.6 per cent in 2016, the year Cyrus Mistry, Ratan's successor, was replaced. It was a drop of nearly 69 per cent from the ten-year average that Ratan had achieved, beginning from zero, during his tenure. From the data for the period when Mistry was at the helm, the percentage drop in market share of Tata Motors in the passenger vehicle segment plummeted by 64.61 per cent.

The overall changes brought about by Ratan in Tata Motors made the company stand out amongst the other automobile enterprises in terms of performance. The turnover of the company increased by an incredible 13,764 per cent from 1988 (standalone) to 2013 (consolidated), despite the economic meltdown that crimped the world in 2008. If the period to assess the turnover is extended to 2016, to make a rational estimation of the impact of the reforms that Ratan had undertaken especially in JLR, then the growth of Tata Motors would be 19,934 per cent (1998 to 2016), a period when the turnover increased from Rs 1,403 crore to Rs 2.81 lakh crore in